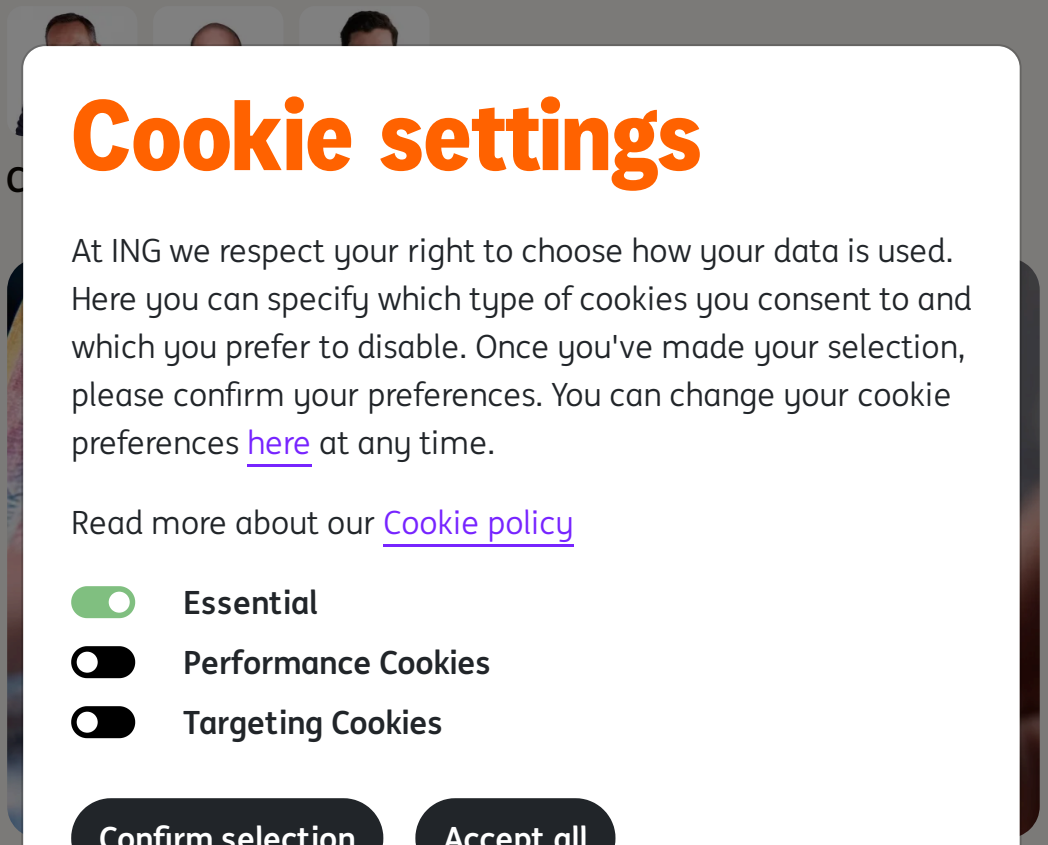
The market reaction to the hot September US CPI did not last long. Within hours, the spike higher in short-dated US yields and the dollar reversed as the market switched its attention to the sell-off in the debt markets of some high-profile AI companies. Outperforming has been the Swiss franc, serving as a preview for what happens when AI goes wrong



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USD: AI funding in focus

The DXY dollar index briefly touched a new high for the year yesterday, before reversing quite sharply in Asia overnight. The dollar rally followed some hot US CPI data, which questioned whether the Fed, after all, would have to deliver a back-to-back hike in October. However, within hours, US short-dated yields and the dollar had more than reversed their gains. Driving the move seemed to be growing concerns over the debt load in the AI sector. One company in focus, Coreweave, which provides access to GPUs and data centres for AI cloud computing, has seen its debt sell off

hard. It is a high-yield issuer, but its 2032 bonds trading at 78 cents on the dollar are raising some eyebrows and questioning whether the buy-side has limitless appetite to fund the AI build-out.

It looks premature to conclude that AI funding will hit a wall, but it is interesting to see better performance at the long end of the US Treasury market. This tentatively suggests yields have hit levels where value is being seen.

For the FX market, overnight price action provides a preview of how currencies will perform during a big AI correction. Rather than rallying as a safe haven, the dollar weakens as the Fed cycle gets re

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Chris Turner

EUR: Some consolidation may be due

EUR/USD touched the 1.1100/1120 target area, which we had been highlighting in recent weeks, but it has quickly reversed. A correction in the AI forever thesis is probably the biggest chance of EUR/USD finding support right now, given that the French budget story looks set to endure. But let's see whether this AI correction story has legs and is enough to drag EUR/USD back to the 1.1300/1350 area – purely from the dollar side.

Chris Turner

PLN: Delayed NBP tightening leaves the zloty vulnerable

Final Polish inflation was revised slightly higher to 4.1% from the 4.0% September flash estimate. Our core inflation forecast is unchanged at 3.1%, down from 3.3%, with today's release expected to confirm the figure. Since the October National Bank of Poland meeting, nearly all Monetary Policy Committee members have spoken, offering mixed signals. Most have sounded somewhat more hawkish than Governor Adam Glapinski, but the majority see

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record-high gas prices will make it difficult for regional currencies to sustain gains. The PLN looks particularly vulnerable given the NBP's dovish stance relative to market pricing. We therefore continue to expect EUR/PLN to return to the 4.380-4.400 range.

Frantisek Taborsky

RON: Political breakthrough supports stability, but upside is limited

Romania appears closer to ending five months of political deadlock after the Social Democrats agreed to join premier-designate Luca

Niculescu's cabinet with 11 ministers. The Liberals and UDMR will not enter government but have pledged parliamentary support for six months, likely giving Niculescu the majority needed for approval. The cabinet is also expected to include technocrats in finance, energy and foreign affairs.

This is Niculescu's fourth attempt by President Nicușor Dan to install a prime minister since May, after the previous coalition collapsed and previous nominees failed. A government should reduce near-term pressure on the leu and lower the risk of Romania losing its investment-grade rating. However, the economic backdrop remains difficult after last year's fiscal tightening pushed activity

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FX

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